

Biocon Note to be published
on Monday morning 29th June

For modelling, assume (1) Adali may be stagnant, Peg & Trasta decline

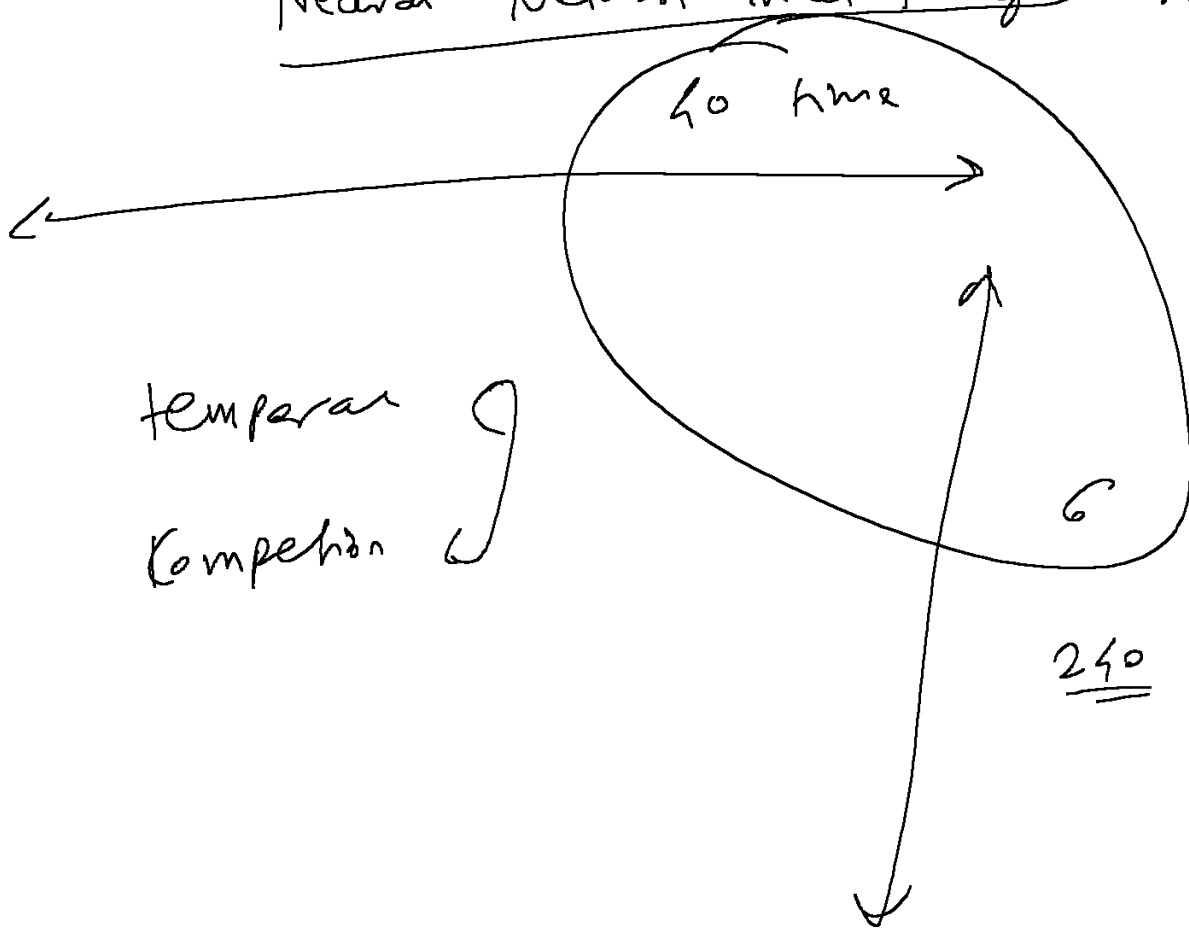
2) Insulin Basalct 275 mn $\rightarrow$ 340 $\rightarrow$ 400 mn
gross, assume CAGR post FY27 H2 higher!!

- 3) BENECI add 100 mn
- 4) FY 28/29 Pertuzumab
- 5) FY 30 Nivolumab
- 6) FY 29 Pembrolizumab

Shirish :- This is validated with
Arashant!!

while modelling Pertuzumab, Pembrolizumab,
Use 6-player market & that innovator
will NOT give market share easily. Prices
fall to $\sim 40\%$ in year-1 & to $\sim$
20% by year-3!

Neural Network model for growth model



⑧ Shirsh - Use perplexity to Build a local Neural network that has Neurons for Biogen, Sandoz, Teva, Organon, Churchill

Vector

<u>Months</u> →	\$ mn sales of TR _x
↓ <u>products</u>	(Price is thus derived proxy)
∴ Predict Next 12 months !!	

LOVIA data (remove \$ mn, & mask as X, Y, so that AI Policy is fully preserved !

"Product is a hit; sales is on a beat"

First Paragraph :- Explain last 5 years of
Sales growth in BBL, Biocon Gx, USA vs.
Ex-USA market

50:50
Page [Exhibit 1 :- Sales growth, EBITDA %
superimposed
for last 5 yrs
Exhibit 2 :- Zoomed QoQ version of sales
for last 8 quarters
→ stack US, EU, RoW...

Exhibit 3 :- Viatis role in sales; % of
total

Second Paragraph :- Complex subsidiary structure &
repurpose Initiation report slides of world
map, product prescription sales (Ex 4, 5, 6)

Third Paragraph :- Insulin model; speak competition
Chinese too!

Exhibit 7 :- Glargine, US, EX-USA
Kirsty
rh-insulin
Fy 25A to Fy 28 E (X%) to show
~ margin

Exhibit 8 :- Capacity estimation of competition
(Fy 27 H2 double) Chinese
approval

Insulin model, pay close attention to (a)

Exhibit 9 :- overall US Insulin market by products (How they mix)
FY25 A to FY28 E
(as Half yearly) -

Refer
Courtney
model of
GLP-1.

Exhibit 10 :- overall US insulin market by
T1 vs T2D & our view that
structurally T2D will reduce as a driver
due to GLP-1.

Fourth Paragraph :- Biosimilars

Start explaining 'Old 5' that made
foundation of FY25 '\$1 Bn' BBL sales

Exhibit 11 & 12 & 13

~ \$1 Bn global BBL

50mn - Levac only outside USA
250 - Insulin glargine
200 - Degludec
200 - Adali
200 - Trastuzumab

FY25 Base

of this
~ 52-55%
is USA
sales !!

Construct
exhibit for
historic FY23 to
FY25 sales
US vs Ex U

(BBL solutions
annual reports)

→ Moving forward Bevacizumab ~50 mn in USA
will accrue
→ Reg fil, trough degress,

Exhibit 14 :-

FY 26 A, FY 27 E, FY 28 E

Product wire
BBL sales

Exhibit 15 :-

Pipeline view of our Realistic assumption
(like Zydus at Sales ie FY 29
you did for initiation) onwards given
delays

★ Exhibit 16 :- 'Biosimilar competition vs New regulatory'
Explain here nicely how Biocan has lower
pricing brand flexibility & is ok to lose
market share for margin; thus $P \times Q$ equilibrium
is much lower compared to competitors

★ Exhibit 17 :- Biosimilar Sales for
Competitors - 2 examples
& 18 :-

★ Exhibit 19 :- Apr 1 26 vs 25 vs 24
May 26 - " -
'Poor show continues'

② Shish :- Exhibit 16 is reproduced from
Initiation report appendix on how
is US Biosimilar market vs. Intense
Competition.

Final Paragraph :-

Valuation :- explain $\frac{EV}{EBITDA}$ & why
EBITDA growth itself is lower than
Consensus.

★ Exhibit 20 :- VS. Consensus our EBITDA
FY 27, FY 28

Exhibit 21 :- Debt structure & retirement —
∴ EPS, FCF for FY 25, 27, 28, 29!